One of the primary motivations for the country to push financial inclusion is to free the excluded from the clutches of the moneylender. How does the moneylender boldly lend where no banker dares to lend? Because he does not suffer the same impediments! Coming from the local community, the *sahukar* is well informed on what everyone's sources of income and wealth are, and how much they can repay. He is quite capable of using ruthless methods to enforce repayment. Moreover, the borrower knows that if he defaults on the sahukar, he loses his lender of last resort. So the borrower has strong incentives to pay. Finally, because the *sahukar* lives nearby and uses minimal documentation – after all, he is not going to use the courts to force repayment – loans are easily and quickly obtained. In an emergency or if the poor need to borrow on a daily basis, there are few more readily available alternatives than the moneylender. No wonder he has so many in his clutches.

How then should public policy approach this problem? I will now describe three approaches: mandates and subventions, transforming institutions, and moving away from credit.

APPROACH 1: MANDATES AND SUBVENTIONS

One approach is to push formal institutions into reaching out to the excluded, even if it is unprofitable. This is why, for example, we mandate that banks allocate a certain fraction of their loans to the 'priority sector' and that they open 25 per cent of their branches in unbanked areas. There are also interest subventions that are made available for loans to particular sectors. Furthermore, banks have been urged to open bank accounts for all under the Pradhan Mantri Jan Dhan Yojana (PMJDY), while today they are being exhorted to make loans to small businesses under the Mudra Scheme.

Because there are positive social benefits to financial inclusion that are not captured by the service provider (what economists call